

SaaS STATUS CHECK

SOURCE BAIN & COMPANY

\$12–13
BILLION**Amount of annual
recurring revenue
earned by Indian SaaS
companies in 2022****\$5.1**
BILLION**Amount of
funding Indian
SaaS companies
received in 2022**

& Company expects the Indian SaaS market to grow 20-25 per cent per annum over the next five years to reach close to \$35 billion in ARR by 2027, which will account for nearly 8 per cent share of the global SaaS market.

SUSTAINABILITY SOARS

The need for sustainable solutions has never been greater. From renewable energy to sustainable agriculture, Indian start-ups are poised to lead the charge in developing innovative solutions that can help mitigate the effects of climate change and build a more sustainable future. Enzia Ventures, a mid-market venture capital fund, recently predicted that India is likely to attract climate-tech investments to the tune of \$20 billion by 2030.

The scope of green tech has expanded beyond large-scale, capital-intensive wind and solar energy projects to new business models across a variety of sectors, such as pollution control, sustainable agriculture, waste recycling, etc., says Sanjiv Rangrass, Venture Partner at Unitus Ventures, a VC firm.

Meanwhile, start-ups are taking advantage of the push towards electrification in the transportation sector by introducing innovative solutions for electric vehicles, including two- and three-wheelers, commercial buses, and freight vehicles.

“Across the world, climate and sustainability are being recognised by corporates as key to building a competitive edge (and to be ahead of



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ANJALI BANSAL
FOUNDING PARTNER,
AVAANA CAPITAL



“Digital financial inclusion start-ups have the potential to increase access to financial services for under-banked and unbanked populations, which can drive economic growth and development”

HARDIKA SHAH
FOUNDER &
CEO, KINARA CAPITAL

regulation). It is here that the Indian tech start-up scene is exploding... [and] creating verifiable carbon offsets, reducing wastage of inputs in industries as diverse as textiles and chemicals, etc. The world of agri-tech players is also making the entire supply chain more efficient, and is seeing incredible levels of start-up and venture activity,” says Anshuman Bapna, Founder of global climate career platform Terra.do.

Anjali Bansal, Founding Partner of climate and sustainability investing firm Avaana Capital, says the sector has transitioned from a sunrise sector to a mainstream asset class and opportunity. “There is truly a perfect confluence of conducive policy, corporate support, entrepreneurial activity and consumer adoption, which is driving growth in climate-tech, as it emerges as a leading sector of national importance... We expect energy transition, resource management, green mobility and climate-resilient agriculture to continue seeing immense growth over the coming years,” she says.

As the start-up landscape in India blooms, it's evident that these sectors where ambitious start-ups are actively building solutions will be instrumental in propelling the country's growth and advancement in the coming years. The horizon shines bright for India's start-ups, with boundless potential for the impact they will have on the nation's economy and society. **BT**

@binu_t_paul